Busy stand. Empty cash box?

Run a drink stand for four afternoons. Choose the price and inventory. Find out whether your decisions made a profit.

Students: paper + pencil + calculator. No student account required.

Every afternoon starts fresh.

Daily budget: $100. Selling price: $2, $3, or $4. Stock: 20, 30, or 40 drinks. Cost: $1 each in rounds 1-3; $1.50 in round 4. Add a $10 stand fee. Unsold drinks are discarded.

Each team has a separate identical stand. Only profit carries into your final score.

Revenue is only the first line.

Stock 30 drinks at $1 each. Set price at $3. Demand is 28. Sell 28, bring in $84, and pay $40 in costs. Two drinks remain unsold.

$84 revenue - $40 costs = $44 profit

Profit = revenue - all costs. Pay for every drink stocked, even the ones you do not sell.

An ordinary afternoon

The usual crowd will pass your stand. Yesterday, demand was 38 drinks at $2, 28 at $3, and 18 at $4.

Choose a price: $2 / $3 / $4. Stock: 20 / 30 / 40.

The customers have arrived.

Demand at $2: 38 drinks. At $3: 28 drinks. At $4: 18 drinks. Your units sold cannot exceed stock or demand.

Calculate sold, unsold, revenue, all costs, and profit.

Did selling the most drinks also make the most profit?

The hot afternoon

It is hotter than yesterday. More people want a cold drink at every price. Use Round 1 as your starting point.

Choose a price: $2 / $3 / $4. Stock: 20 / 30 / 40.

The customers have arrived.

Demand at $2: 48 drinks. At $3: 38 drinks. At $4: 28 drinks. Your units sold cannot exceed stock or demand.

Calculate sold, unsold, revenue, all costs, and profit.

Did the weather change demand, or did you change your price?

The quiet afternoon

Rain has moved the after-school activities indoors. Fewer students will pass your outdoor stand.

Choose a price: $2 / $3 / $4. Stock: 20 / 30 / 40.

Unit cost: $1. Stand fee: $10. Think alone, agree, then lock choices on paper.

The customers have arrived.

Demand at $2: 28 drinks. At $3: 18 drinks. At $4: 8 drinks. Your units sold cannot exceed stock or demand.

Calculate sold, unsold, revenue, all costs, and profit.

What did unsold drinks cost you? What risk comes with less stock?

The big game

A school game will bring a larger crowd. Your supplier raises the cost to $1.50 per drink. The stand fee stays $10.

Choose a price: $2 / $3 / $4. Stock: 20 / 30 / 40.

Unit cost: $1.50. Stand fee: $10. Think alone, agree, then lock choices on paper.

The customers have arrived.

Demand at $2: 50 drinks. At $3: 38 drinks. At $4: 26 drinks. Your units sold cannot exceed stock or demand.

Calculate sold, unsold, revenue, all costs, and profit.

Find two results where higher revenue led to lower profit.

Which choice would you change?

Use one number from your ledger to defend the change. Then complete the individual exit ticket.